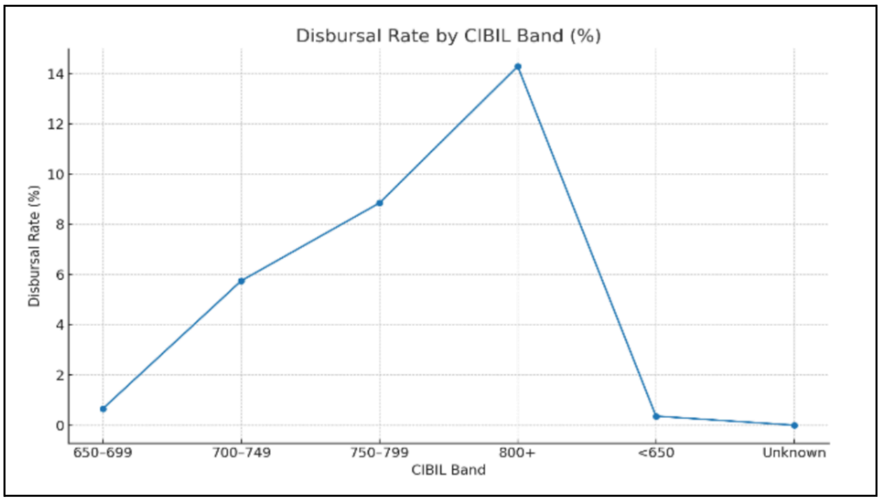
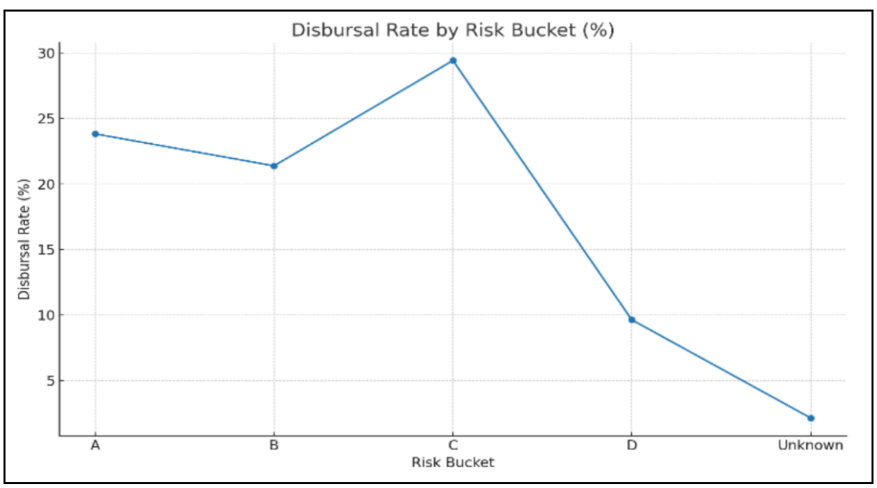
Loans Funnel Analysis

Based on data from own books and partner books from
(Nov’24-Jan25)

Based on the analysis I did of 2,579 loan applications with 122 disbursals totaling ₹67.4M, this report identifies potential optimization opportunities representing major growth opportunities in a longer run.
current ₹29.3M (January 2025) at 50 disbursals.





Loan Funnel Insights (Summary)

- **Major Drop-off Point**: Own Book Approvals (many cases rejected internally).
- 1,624 applications lost at login stage (63% drop-off rate)

- **Focus on Partner channel**: Many loans rejected in own-books get picked by partners. However, *Partner Login Completion* rate is low so there might be some operational issue.
- **Credit quality matters**:
  - High CIBIL (>750) & Risk A to B → highest approval & disbursal.
  - Low CIBIL (<650) & Risk D to E → almost no conversions suggesting wasted effort in chasing them.
- **ROI misaligned**: ROI does not always align with risk buckets (e.g., Risk C/E customers sometimes getting similar rates as better profiles) and there is room for pricing optimization.
- **Business concentrated**: Majority of disbursal value comes from CIBIL 700–799 segment. Targeting this band with faster approvals could maximize disbursals.
- **Operational issue**: Monthly disbursals fluctuate despite steady document inflow, there might be process/partner delays.

Suggested Focus Areas

- Streamline **Partner Login process**
- Tighten **risk-based ROI strategy** (higher rates for Risk D/E, preferential for A–B).
- Prioritize **mid-to-high CIBIL customers** (700–799) for faster conversion.

DETAILED ANALYSIS WITH EDGE CASES I DISCOVERED

- CIBIL <650 customers: 280 applications → 1 disbursal (0.4% conversion rate)
  - The 280 applications in this segment consume processing capacity without meaningful returns.
- **ROI misaligned**:
  - 295 instances where Risk C received better rates than lower-risk A-B customers.
  - Risk A customers receive up to 22.0% ROI while Risk B customers get 12.5%. (9.5 percentage point spread within similar risk profiles indicates pricing inconsistency)
- Investigate why Risk A/B customers are getting rates up to 22.0% which could be a possible deal breaker for them.(**Out of 89 logged-in A and B customers, 77 did not proceed to loan approval**)

- **Risk A-B customers** demonstrate superior conversion rates and larger possible loan amounts, validating their creditworthiness. However, their 9.1% conversion rate indicates untapped potential in an excellent credit range.

Customer Segmentation Analysis

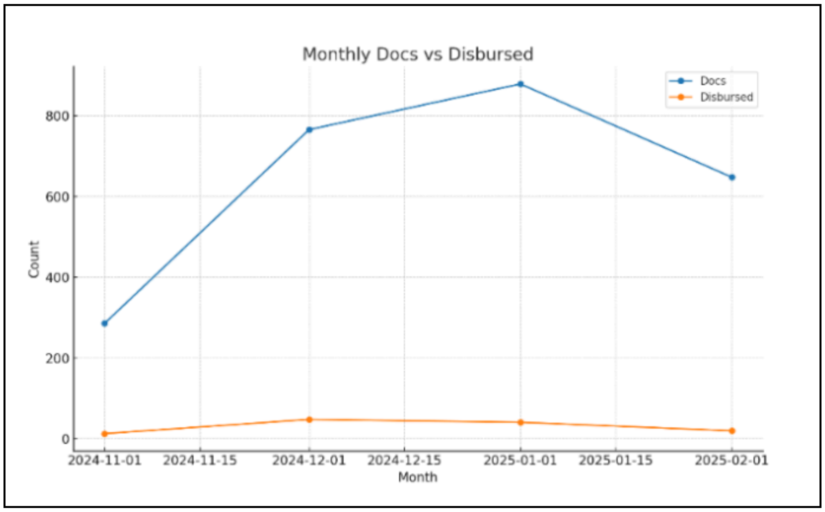
  - 751-900 Range: Highest performance with 9.1% disbursal rate
  - 701-750 Range: Moderate performance at 5.9% disbursal rate
  - 601-700 Range: Poor performance at 0.5% disbursal rate
  - Below 600: Zero disbursals, indicating strict qualification criteria

- **Operational issue**: Monthly conversion fluctuates despite steady document inflow, there might be process/partner delays.

Conversion rates fluctuation

  - November 2024: 7.17% (279 documents, 20 approved)
  - December 2024: 8.97% (747 documents, 67 approved)

- January 2025: 7.72% (868 documents, 67 approved)
- February 2025: 5.62% (640 documents, 36 approved)



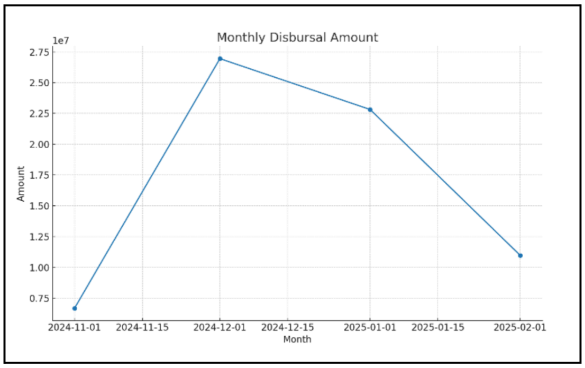
- **Risk Grade A Paradox:** Highest approval rates but low disbursal rates suggest post-approval inefficiencies.

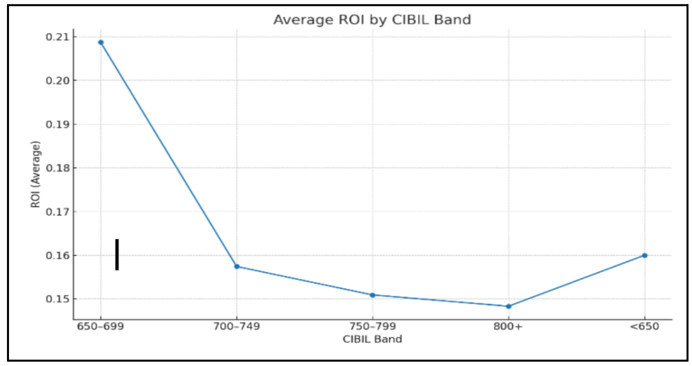
Risk Bucket Analysis

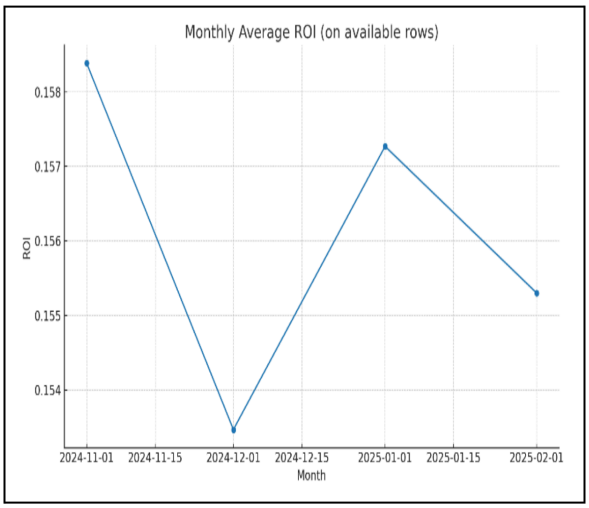
- Grade A: 49% approval but only 24% disbursal (conversion issue)
- Grade B: Balanced 32% approval, 22% disbursal
- Grade C: Strong 35% approval, surprising 30% disbursal
- Grade D: Poor 12% approval, 10% disbursal

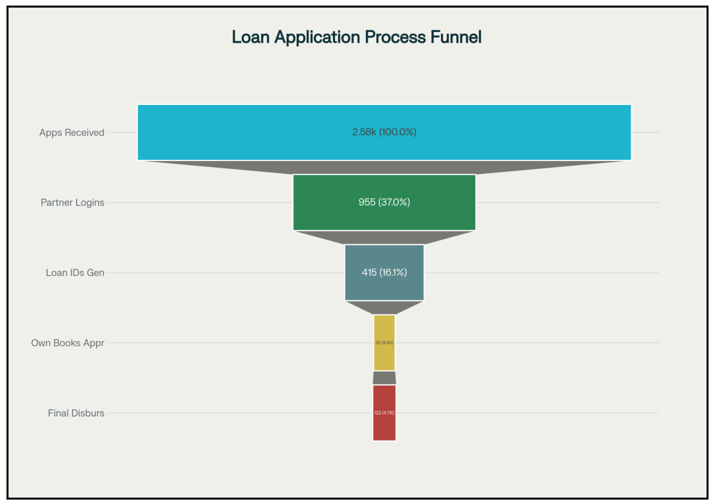
- **Funnel Leakage:** The biggest drop is between partner login (37%) and loan ID generation (16%), suggesting restrictive eligibility. Reviewing credit policy, documentation, and partner onboarding can improve conversion without raising risk.

ADDITIONAL SUMMARY PLOTS I MADE

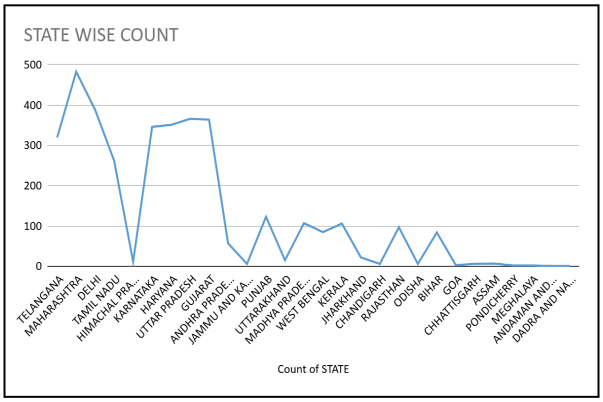


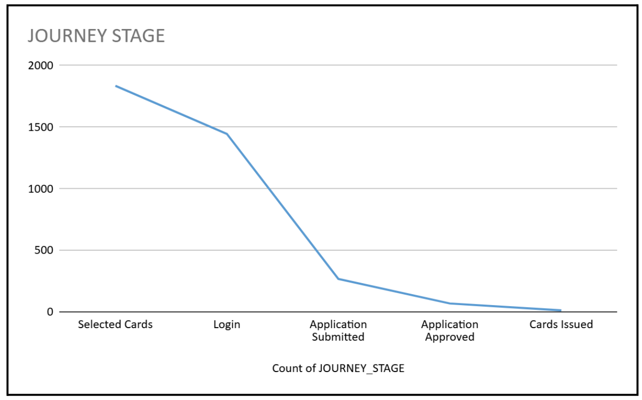


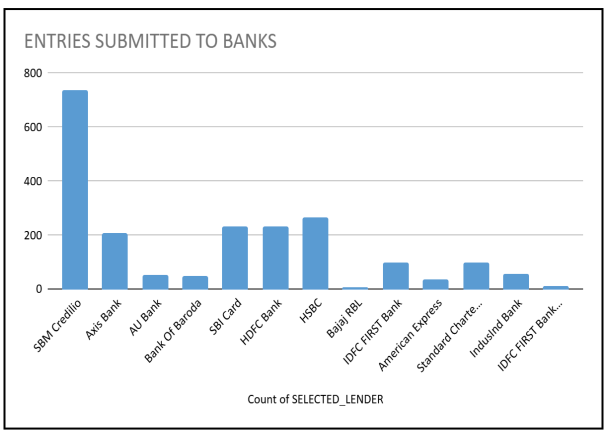


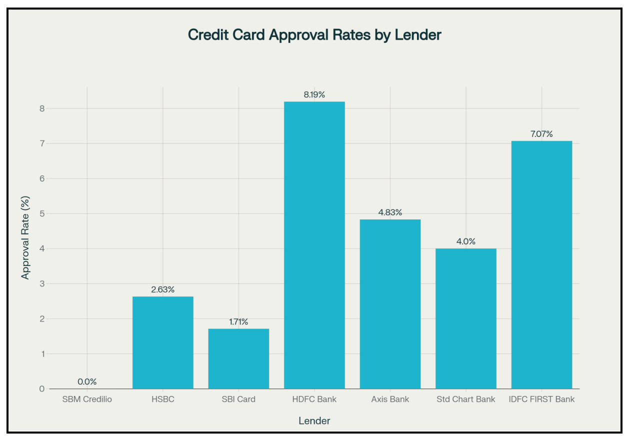


Credit Card Funnel Insights (Summary)









Major Drop-off: Card Selection → Application Submission – only **14.6%** submit applications after selecting cards.

SBM Credilio Crisis: **735 lost conversions.** → critical area of concern.

Post-Approval Issues: Only **17.6%** of approved applications get cards issued → fulfillment bottleneck.

<u>Volume vs Performance</u>:

    - **SBM Credilio**: Highest 35.3% market share but 0% approval.
    - **HSBC/SBI Card**: Lower volume but **42-50% approval rates**
    - **Geographic Concentration**: Top 3 states (Maharashtra, Delhi, UP) = **34%** of total leads.
    - **Mitigation opportunity**: Shift volume to efficient partners

- Top 5 states generate 54% of leads but approval rates vary significantly, indicating need for ***state-specific lender partnerships*****.**
- Strong volume (388 leads) with above-average approval rate (2.84%) demonstrates market potential in DELHI.

Login Friction: **37-44%** of leads stuck at login stage in major states → UX/tech issues.

Dismal Conversion: Overall **0.33%** of leads get cards issued (12 out of 3,627 leads).

Focus Areas

Streamline application submission flow – 85% drop-off rate.

FIX post-approval issuance delays.

Optimize login experience in top 3 states.

Shift volume to high-performing lenders (HSBC, SBI Card).

Partner audit: SBM Credilio

UX improvement: Simplify application submission process.

Prioritize: Maharashtra (13.3% of volume).